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ANAND GULATI, A pharmaceuticals representative for a leading multinational firm, has spent more than half his life travelling across Uttar Pradesh and Uttarakhand—two of the territories he covers. Bad roads, poor connectivity, non-existent hotels—the 43-year-old has seen it all. But things are changing, and he couldn't be happier. "Gorakhpur has a Radisson; Aligarh has a Lemon Tree hotel. Bharat is meeting India," he grins. Gulati recently attended the wedding of a client's daughter in Aligarh. The wedding took place at the Lemon Tree Hotel. "The boy's family wanted a hotel wedding and not one in a *baraat ghar* [marriage hall]," he says. Lemon Tree, which opened in 2021, is only the second branded hotel in Aligarh besides Ramada by Wyndham.

Aligarh or Gorakhpur aren't the only locations seeing the advent of branded hotels. Latent demand, industrialisation and domestic travellers eager to explore more of India are leading to hotel chains making a beeline for the country's Tier II and III cities. At the forefront are companies such as Lemon Tree Hotels, which will open 38 new hotels over the next couple of years in cities such as Hubli, Jabalpur and Bharuch. "One big learning from Covid-19



BHARAT CHECKS IN A view of the Lemon Tree Hotel in Aligarh. There is a growing demand for branded hotels to host weddings and other events in small-town India



"With the advent of internet... you have great aspirations in smaller towns... So, there's enough demand to justify branded hotels there"

AJAY K. BAKAYA
MD, SAROVAR HOTELS & RESORTS

is that smaller cities and towns are the most resilient. They have bounced back much faster and much stronger than the big cities," says Vikramjit Singh, President of Lemon Tree Hotels, which now runs 87 hotels across the country and had posted revenues of ₹416.27 crore in 2021-22.

He cites two reasons for expanding into Tier IV cities such as Chirang in Assam or Chandausi in Uttar Pradesh. First, these cities have no supply, and being the only branded hotel in a market ensures that Lemon Tree gets a disproportionate share of the demand. The other and more important reason is something he refers to as